CHAPTER 6

ISSUE AND REDEMPTION OF DEBENTURES

CHAPTER ESSENCE AT A GLANCE:
Account for debentures issued at par, premium, discount, issued as collateral security, record debenture interest, and write off loss on issue of debentures.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Debenture Debt Instrument Nature:** Debentures represent formal written acknowledgements of debt issued under the company seal, carrying fixed interest payable periodically irrespective of profit.

• **Six Redemption Conditions Protocol:** Accounting entries on issue must reflect redemption conditions: debentures redeemable at a premium require creating 'Loss on Issue of Debentures Account' and 'Premium on Redemption of Debentures Account'.

• **Collateral Security Accounting:** When debentures are pledged as secondary security against bank loans, they can be recorded either without an entry (disclosure only) or with an entry using 'Debenture Suspense Account'.

• **Loss on Issue Amortization:** Loss or discount on issue of debentures is written off in the year of issue itself using Securities Premium Account or Statement of Profit and Loss.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Total Loss on Issue} = \text{Discount on Issue} + \text{Premium Payable on Redemption}$$

Aggregate Issue and Redemption Capital Loss

$$\text{Net Debenture Interest} = \text{Gross Interest Due} - \text{TDS (Tax Deducted at Source)}$$

Statutory Periodic Interest Disbursement

$$\text{Collateral Entry} \iff \text{Debenture Suspense A/c (Dr)} \to \text{Debentures A/c (Cr)}$$

Collateral Secondary Security Journal Model

$$\text{Writing Off Loss} \iff \text{Securities Premium / Statement of P\&L (Dr)} \to \text{Loss on Issue A/c (Cr)}$$

Annual Capital Loss Amortization Protocol

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Premium on Redemption of Debentures is a personal liability account shown under Non-Current Liabilities (Other Long-Term Liabilities) in the Balance Sheet.

• **Alert:** Debenture interest is a charge against profit debited to Statement of Profit and Loss, never an appropriation of profit.

• **Alert:** When debentures are issued as collateral security with entry, Debenture Suspense Account is deducted from Debentures on the liability side, showing net extended effect as nil.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Distinguish between a Shareholder and a Debentureholder across two key parameters. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Status:** Shareholder is an owner of the company; debentureholder is an external creditor of the company. **[1 Mark]**

• **Return:** Shareholder receives variable dividend depending on profits; debentureholder receives fixed interest regardless of profit or loss. **[1 Mark]**

2. What is meant by Issue of Debentures as Collateral Security? State two methods of treating it in accounts. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** Issuing debentures as a secondary or auxiliary security against a bank loan in addition to the principal mortgaged asset. **[1 Mark]**

• **Two Methods:** (1) First method: No journal entry is passed; only a footnote disclosure is made in the balance sheet, (2) Second method: Pass entry debiting Debenture Suspense $\frac{A}{c}$ and crediting Debentures $\frac{A}{c}$. **[1 Mark]**

3. Pass journal entries for the issue of 1,000, 9 percent Debentures of Rs 100 each issued at par, redeemable at a premium of 5 percent. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Receipt of Application Money:** Debit Bank $\frac{A}{c}$ Rs 1,00,000 and Credit Debenture Application and Allotment $\frac{A}{c}$ Rs 1,00,000. **[1 Mark]**

• **Allotment with Redemption Premium:** Debit Debenture Application and Allotment $\frac{A}{c}$ Rs 1,00,000, Debit Loss on Issue of Debentures $\frac{A}{c}$ Rs 5,000 (5 percent of Rs 1,00,000). **[1 Mark]**

• **Credits in Entry:** Credit 9 percent Debentures $\frac{A}{c}$ Rs 1,00,000 and Credit Premium on Redemption of Debentures $\frac{A}{c}$ Rs 5,000. **[1 Mark]**

4. Pass journal entries for the issue of 2,000, 10 percent Debentures of Rs 100 each issued at a discount of 4 percent, redeemable at a premium of 6 percent. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Receipt of Application Money:** Debit Bank $\frac{A}{c}$ Rs 1,92,000 (2,000 * Rs 96) and Credit Debenture Application and Allotment $\frac{A}{c}$ Rs 1,92,000. **[1 Mark]**

• **Combined Loss Allotment:** Total loss = Discount Rs 8,000 + Premium Rs 12,000 = Rs 20,000. Entry: Debit Debenture Application & Allotment $\frac{A}{c}$ Rs 1,92,000, Debit Loss on Issue of Debentures $\frac{A}{c}$ Rs 20,000. **[1 Mark]**

• **Credits in Entry:** Credit 10 percent Debentures $\frac{A}{c}$ Rs 2,00,000 and Credit Premium on Redemption of Debentures $\frac{A}{c}$ Rs 12,000. **[1 Mark]**

5. Explain how Loss on Issue of Debentures is written off according to the Companies Act 2013. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Timing of Write-Off:** Written off in the year in which debentures are issued itself. **[1 Mark]**

• **Order of Utilization:** Written off first against Securities Premium Account under Section 52(2). **[1 Mark]**

• **Residual Write-Off:** If Securities Premium is insufficient or absent, the remaining balance is debited to Statement of Profit and Loss (Finance Costs). **[1 Mark]**

6. A company had Rs 50,000 in Securities Premium Account. During the year, it issued 5,000, 8 percent Debentures of Rs 100 each at a discount of 5 percent, redeemable at a premium of 7 percent. Pass the journal entry to write off the loss on issue. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Calculation of Total Loss:** Discount (5 percent of Rs 5,00,000 = Rs 25,000) + Redemption Premium (7 percent of Rs 5,00,000 = Rs 35,000) = Total Loss Rs 60,000. **[1 Mark]**

• **Securities Premium Utilization:** Available Securities Premium = Rs 50,000. Balance of Rs 10,000 must be charged to Statement of Profit and Loss. **[1 Mark]**

• **Journal Entry:** Debit Securities Premium $\frac{A}{c}$ Rs 50,000, Debit Statement of Profit and Loss Rs 10,000, and Credit Loss on Issue of Debentures $\frac{A}{c}$ Rs 60,000. **[1 Mark]**

7. On 1st April 2023, Zenith Ltd issued 4,000, 9 percent Debentures of Rs 100 each at par. Interest is payable half-yearly on 30th September and 31st March. Tax deducted at source (TDS) is 10 percent. Pass journal entries for interest on debentures for the year ended 31st March 2024. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Annual Interest Calculation:** 9 percent on Rs 4,00,000 = Rs 36,000 per annum (Half-yearly interest = Rs 18,000). **[1 Mark]**

• **30th September Entries:** Debit Debenture Interest $\frac{A}{c}$ Rs 18,000, Credit Debentureholders $\frac{A}{c}$ Rs 16,200, Credit TDS Payable $\frac{A}{c}$ Rs 1,800. Payment: Debit Debentureholders $\frac{A}{c}$ Rs 16,200, Debit TDS Payable $\frac{A}{c}$ Rs 1,800, Credit Bank $\frac{A}{c}$ Rs 18,000. **[1.5 Marks]**

• **31st March Entries and P&L Transfer:** Identical half-year interest entry for Rs 18,000. Year-end transfer: Debit Statement of Profit and Loss Rs 36,000 and Credit Debenture Interest $\frac{A}{c}$ Rs 36,000. **[1.5 Marks]**